Report to The Portland Public Schools (PPS) Board of Directors (Board)
Audit Committee Report from Chair Sullivan

Committee Meeting Date: 10/27/2026

Audit Committee Members:

- Director Patte Sullivan – Chair
- Director Virginia LaForte
- Director Michelle DePass - absent
- Community Members: Jennifer Samuels and Caroline Zavitkovski
- Student Representative: Eben Cole - absent

The Audit Committee meet on 10/27/2027 at 6:30 and included the following agenda:

- Bond Performance Audit Update
- Audit Committee Roles and Responsibilities
- Office of Internal Performance Audit (OIPA) Updates
- Monthly and Quarterly Financial Statement Reviews
- Status Update on the Annual Comprehensive Financial Report (ACFR) and Single Audit

Below is a brief overview of each agenda item.

<u>Bond Performance Audit Update</u>

I was informed the evening before the Committee's meeting; the PPS staff requested to provide the bond performance audit update was unable to attend the meeting. This was not enough notice for me to rearrange the Committee's agenda. As a result, we skipped this item on the agenda.

The Audit Committee has requested an additional meeting be scheduled for the sole purpose of discussing the Year 7 & 8 Bond Performance Audit recommendations with PPS staff within the month of November, 2026. I have sent this request proposing several dates for a committee meeting in November and have been informed PPS staff are unable to accommodate any of the proposed November meeting dates along with a suggestion for the Committee look for dates in December or January for this meeting.

I have requested staff reconsider and I hope to be able to announce a November Audit Committee meeting date within the next week.

<u>Audit Committee Roles and Responsibilities</u>

Chief Financial Officer Michelle Morrison, staff liaison to the Audit Committee (Committee), provided a brief overview of the staff roles that support the work of the Committee and provided the Audit Committee Liaison Support Plan.

Office of Internal Performance Audit (OIPA) Updates

Overview of OIPA:

The Board's Sr. Internal Performance Auditor (Internal Auditor) Janise Hansen, CIA provided the Overview of OIPA presentation. This presentation discussed the purpose and mission of OIPA with a focus on the independence of OIPA and professional skepticism.

Our Internal Auditor provided Audit Standard's criteria to maintain independence and how each criteria is met. One criteria I would like to draw to the attention of the full Board is the criteria to ensure OIPA is sufficiently removed from pressures to conduct engagements and report findings, opinions, and conclusions objectively without fear of reprisal. Safeguards are necessary to ensure the OIPA can meet this criteria. Such safeguards include:

- OIPA reports functionally to the Board via the Audit Committee
- Annual performance evaluation for the Internal Auditor is conducted by the Board and this process is lead by the Chair of the Audit Committee
- OIPA's annual budget approval process

Any changes to these safeguards should to be carefully considered and discussed in the Audit Committee as additional or alternative safeguards may be necessary to maintain OIPA's independence.

Our Internal Auditor also provided an article from Internal Audit 360, titled *Why Professional Skepticism Is Too Important to Leave to Internal Audit Alone,"* which helped provide some additional perspective on professional skepticism. I hope the full Board will take a few minutes to read the article, and I would like to draw you attention to the below two paragraphs that resonated with me:

> *"The strongest governance environments are not necessarily those with the most policies, controls, or procedures. They are the environments where challenge is normalized. Where assumptions can be questioned. Where difficult conversations are not avoided. Where internal auditors can ask uncomfortable questions without fearing personal or professional consequences.*
>
> *Governance structures alone cannot achieve that. Culture must support it. Leadership must model it. Governance must protect it."*

Communication Protocols Memo:

Audit Standards recognize the importance of direct and open communication between individual Board members, Committee members, and our Internal Auditor; this communication does not violate Oregon Public Meetings Law. It was helpful for our Internal Auditor to clearly communicate that there are some boundaries to this communication, and where those boundaries are.

The Internal Auditor, Board, and Committee members should not use individual communications, whether directly or through an intermediary, that create deliberation or decision-making by a quorum of the Committee outside of a meeting conducted in accordance with Oregon Public Meeting Law.

For example:

- The Internal Auditor should **not** communicate one Board and/or Committee member's substantive position on a matter to other Board and/or Committee on topics that the Board and/or Committee will be deliberating.
- Board and/or Committee members should **not** ask the Internal Auditor to poll other Board and/or Committee members regarding their positions on a matter that is or may come before the Board and/or Committee member positions.

Nothing in the communication protocol is intended to restrict an individual Board and/or Committee member's access to the Internal Auditor or the Internal Auditor's ability to communicate directly with individual Board and/or Committee members as appropriate to the Internal Auditor's responsibilities.

I hope the full Board will take a few minutes to review the Communication Protocol Memo to ensure we all due our part to protect our direct communications with our Internal Auditor.

Draft 2026-2027 Risk Assessment and Audit Plan:

Our Internal Auditor is currently working on the 2026-2027 Risk Assessment and Audit Plan and anticipates submitting it to the Audit Committee for review, approval, and referral to the full Board for approval in the December 2026 Committee meeting. A draft portion of this documents was presented to the Committee to facilitate our Internal Auditor's request for the Committee's input on several of the items. I would like to encourage the non-Audit Committee members of the Board to review this document and schedule some time with the Internal Auditor in the next month to provide your input on areas where the Internal Auditor has requested.

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Monthly and Quarterly Financial Statement Reviews

Administrative directive 8.10.030-AD states in part:

> Budget to Actual Financial Reports and Revenue Reports will be provided to and discussed with the Board Finance, Audit, and Operations Committee on a monthly basis.

The Board does not have a Finance, Audit, and Operations Committee and these reports are not provided and discussed with any of the Board's Committees. Given the unexpected mid-year budget shortfall we experienced as a District last year, it is important these reports are provided and discussed with one of the Board's committees consistently.

I have requested the monthly Budget to Actual Financial Reports and Revenue Reports be provided and discussed with the Audit Committee. The Audit Committee does not meet every single monthly. As a result, more than one monthly Budget to Actual Financial Report and Revenue Reports may be presented and discussed in each of the Committee's meetings.

I have also requested the Chief Financial Officer provide the Committee with some training on how to review monthly Budget to Actual Financial Reports and Revenue Reports. This type of training may be something the full Board is interested in, and I am working with the Chief Financial Officer to identify a training format that will be made available to the full Board.

The Audit Committee anticipates beginning a standing Committee agenda item to discuss the Budget to Actual Financial Reports and Revenue Reports in the December Committee meeting and I will provide the full Board with information on how they can participate in the applicable training once an appropriate training format is identified.

Status Update on the Annual Comprehensive Financial Report (ACFR) and Single Audit

The Chief Financial Officer provided a brief status update on the progress of the ACFR and Single Audit. The external audit team from TKW is currently onsite working on the audit and has a target of providing the results of the audit to the Audit Committee in its meeting scheduled for December 17.

That concludes the Audit Committee's report to the Board.

Director Patte Sullivan
Chair of the Audit Committee